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Financial literacy and financial wellbeing of youth entrepreneurs: The mediating role of financial behaviour

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ABSTRACT

This study investigates the relationship between financial literacy and financial well-being among youth entrepreneurs in Tanzania, focusing on the mediating role of financial behaviour. Drawing on human capital theory and behavioural economics, this study employed a cross-sectional design and collected data from 455 youth entrepreneurs using structured questionnaires in selected urban areas in Tanzania. Data were analysed using Structural Equation Modelling (SEM) to assess both direct and indirect relationships among the variables. The findings reveal that financial literacy significantly and positively affects financial well-being, underscoring the foundational role of financial knowledge in enhancing economic decision making. Furthermore, financial literacy significantly influenced financial behaviour, and financial behaviour partially mediated the relationship between financial literacy and financial well-being. These results suggest that while financial knowledge is critical, it is the consistent application of this knowledge through daily financial practices, such as budgeting, saving, and debt management that ultimately leads to improved financial outcomes. This study contributes to the growing literature on financial capability and entrepreneurial sustainability in developing economies and supports the advancement of Sustainable Development Goals, particularly SDG 1, SDG 4.4, and SDG 8. These findings have important implications for policymakers, educators, and development partners aiming to enhance youth financial empowerment through integrated financial education and behaviour-focused intervention.

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Introduction

Financial well-being has emerged as a multidimensional construct that reflects not only objective indicators such as income, assets, savings, and debt, but also subjective aspects, including the ability to manage financial responsibilities, absorb shocks, and plan for the future (Lusardi & Messy, 2023; Zhang & Chatterjee, 2023). It captures both tangible financial conditions and psychological dimensions, such as confidence, peace of mind, and optimism about future finances (Choudhary & Jain, 2023). Recognising these dual aspects, policymakers and scholars increasingly view financial well-being as a key outcome of personal finance management, particularly among vulnerable groups, such as youth and entrepreneurs in developing economies (She et al., 2024). This aligns with the Sustainable Development Goals (SDGs), especially those on poverty reduction, skills development and employment creation.

A growing body of research has identified the determinants of financial well-being, including literacy, income, access to financial services, and macroeconomic conditions (Norvilitis et al., 2021; Lusardi & Messy, 2023; Choung et al., 2023; Zhang & Chatterjee, 2023). Among these, financial literacy which deals with the ability to understand, process, and apply financial information, has been consistently linked to positive financial outcomes. Individuals with a higher degree of financial literacy are more inclined to engage in sound financial practices such as budgeting, saving, and effective debt management (Lusardi & Mitchell, 2014; Henager & Wilmarth, 2018; Artavanis & Karra, 2021). Notably, studies show that higher levels of financial literacy are correlated with improved financial behaviours, which, in turn, enhance financial well-being (Faulkner, 2022; Lusardi & Messy, 2023).

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